

# The Information Daily Briefing — 1 September 2026

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1 September 2026

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## Executive Summary

The last 24 hours crystallised a single theme: **the AI trade is consolidating vertically and financialising simultaneously**. Nvidia's \$12.9bn purchase of Hugging Face, SoftBank's approach to humanoid maker 1X, Andreessen Horowitz's fresh \$1.1bn hardware fund, and Anthropic's IPO mechanics all point the same direction — capital is moving up and down the AI stack faster than the underlying products are shipping revenue.

Three counter-currents matter for positioning:

1. **The physical bottleneck has replaced the compute bottleneck.** Power, turbine blades, and memory chips — not GPUs — are now the binding constraints. Musk claims in-house turbine casting at SpaceX could pull natural-gas turbines forward by up to 18 months; Grok's internal estimate is that 15GW of AI chips shipping next year won't be switched on.
2. **Monetisation is being rewritten in real time.** Salesforce, OpenAI, Sierra, Cognition, Adobe, HubSpot and Zendesk are all moving from seat-based subscriptions toward usage- and outcome-based pricing. This is a structural change to the revenue quality of the entire enterprise software complex.
3. **China's supply chain is closing the gap where it hurts most.** CXMT is now producing HBM3E in small volumes — one generation behind Samsung/SK Hynix/Micron — while Washington drafts a rule to close the remote-access loophole that lets Chinese labs rent Nvidia silicon offshore.

**Overall sentiment: constructive but increasingly two-tier.** Infrastructure and physical-layer assets are being re-rated upward; application-layer software and pre-revenue robotics are where the valuation risk is concentrated.

## Key Stories — What / Why / When / Which / How

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### 1. Nvidia agrees to buy Hugging Face for \$12.9 billion

- **What:** Nvidia has agreed to acquire Hugging Face, the GitHub-equivalent repository for open-source AI models, for \$12.9bn. Deal talks began after Hugging Face received acquisition interest from another suitor; Salesforce was among the interested investors.
  - **Why:** Nvidia's leadership believes a thriving open-source model ecosystem is a structural counterweight to closed-source labs (OpenAI, Anthropic) that are each building competing AI server chips to reduce Nvidia dependence. It also quietly resuscitates Nvidia's shelved DGX Cloud ambition and provides a home for the \$36bn of cloud services contracts Nvidia has committed to under customer credit-support agreements.
  - **When:** Announced 26 August 2026; recapped in the Monday Readout on 31 August.
  - **Which companies:** Nvidia (NVDA), Hugging Face (private), Salesforce (CRM), Google (GOOGL), Microsoft (MSFT), Amazon (AMZN), OpenAI, Poolside, Kumo AI, Essential AI, Perplexity.
  - **How / the numbers:** Hugging Face runs c.\$150m annualised revenue (up from c.\$100m two months earlier) — implying **c.80x forward revenue**, high even by 2026 standards. CEO Clem Delangue says the company is “close to profitability” and doubled paying subscribers in H1 2026. Nvidia disclosed **\$99bn of equity investments** held plus **\$25bn** further committed as of end-July, **\$30bn** committed to OpenAI equity and **\$108bn** of credit support on OpenAI's behalf. CFO Colette Kress conceded a **quarter of next year's revenue** will relate to AI labs Nvidia is financially supporting — while pushing back on the “circular financing” label.
  - **Link:** <https://www.theinformation.com/articles/nvidia-agrees-buy-open-source-model-repository-hugging-face-12-9-billion>
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### 2. Anthropic plans to let shareholders sell into its IPO — breaking the SpaceX playbook

- **What:** Anthropic is working on a structure that allows existing shareholders to sell stock **in** the IPO itself, while simultaneously considering **longer-than-standard lockups** (beyond the conventional 180 days) for at least some holders.
- **Why:** Secondary sales reduce pressure for early lockup release, let employees fund tax bills as equity vests, and give the company control over which new investors receive allocation. The longer lockup is a volatility-management device for a company whose growth trajectory even its own advisers are unsure will persist — management admitted being caught off guard by demand for its coding agent this year.
- **When:** Reported 27 August. Prospectus expected to be unveiled **after Labor Day**; investor day **mid-September**; IPO likely **late September or early October 2026**, with slippage possible.
- **Which companies:** Anthropic, SpaceX, Cerebras, CoreWeave (CRWV), Figma (FIG), Google (GOOGL), Amazon (AMZN), Spark Capital, Lightspeed, Iconiq.
- **How / the numbers:** Private valuation went from **<\$20bn two years ago to \$965bn in May 2026**. Bankers have discussed an IPO valuation of **\$1.5tn**; the New York Times reported up to **\$2tn**. SpaceX priced at **\$1.75tn** and raised **\$86bn** in June — Anthropic is expected to raise more. Anthropic has already raised **at least \$130bn** privately. Notably, **both SpaceX and Cerebras now trade far below their post-listing highs** — SpaceX marginally above

IPO price, Cerebras marginally below. Anthropic has also weighed forcing rank-and-file staff into 10b5-1 trading plans post-IPO.

- **Link:** <https://www.theinformation.com/articles/anthropic-considers-letting-shareholders-sell-ipo-departing-spacex-playbook>
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### 3. China's CXMT begins producing HBM3E — a genuine strategic breakthrough

- **What:** ChangXin Memory Technologies (CXMT), China's leading memory maker, has begun small-volume production of **HBM3E**, the high-bandwidth memory used in Nvidia's Blackwell GPUs and Google's latest TPUs. That places it **one product generation** behind Samsung, SK Hynix and Micron.
  - **Why:** US export restrictions on advanced HBM (imposed 2024) have been one of the primary constraints on China's domestic AI processor programme. Domestic HBM supply directly unblocks Chinese AI silicon.
  - **When:** Reported 31 August 2026 (06:00 PDT). Production expansion planned for **2027**; customer products using CXMT HBM could arrive **as early as next year**.
  - **Which companies:** CXMT, Samsung, SK Hynix (Nvidia's principal HBM supplier), Micron (MU), Alibaba's T-Head (BABA), Cambricon, Nvidia (NVDA), Google (GOOGL).
  - **How / the numbers:** CXMT raised **\$8.6bn** in its recent Shanghai IPO and the shares **soared 472% on debut**. H1 2026 revenue rose almost **tenfold to RMB150.3bn (\$22.3bn)** with net income of **RMB77.6bn (\$11.5bn)**, reversing a prior-year loss. Caveats are material: CXMT remains **three to five years behind** the leaders in HBM technology (SK Hynix mass-produced HBM3E back in 2024), **continues to struggle with low yields**, and is constrained by US equipment export controls. Leaders are already mass-producing HBM4 and sampling HBM4E. Separately, CXMT is **suing the US Department of Defense** (naming Defense Secretary Pete Hegseth) to be removed from the Section 1260H Chinese-military-companies list.
  - **Links:** <https://www.theinformation.com/articles/chinas-cxmt-makes-breakthrough-advanced-memory-chips> | <https://www.theinformation.com/briefings/cxmt-sues-u-s-inclusion-military-linked-blacklist>
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### 4. Washington drafts a new AI diffusion rule to close the remote-access loophole

- **What:** A small group inside the Commerce Department's Bureau of Industry and Security is drafting a slimmed-down replacement for the Biden-era AI diffusion rule, targeting the ability of Chinese AI firms to **remotely access** advanced chips housed in third-country data centres (Thailand, Singapore).
- **Why:** Export controls have historically governed physical shipment, not cloud access. White House OSTP director Michael Kratsios publicly flagged in July that Moonshot was likely training on Nvidia chips located in Thailand. The administration is reckoning with Chinese labs — Moonshot, DeepSeek, Z.ai — closing the capability gap.
- **When:** Draft could be circulated to AI companies and trade groups for feedback **as early as September 2026**.
- **Which companies:** Nvidia (NVDA), cloud and data-centre operators broadly, Moonshot, DeepSeek, Z.ai.
- **How / the mechanism:** The likely design pairs a licensing system for exports to specific countries with **know-your-customer obligations** on data-centre operators — sidestepping the unsettled question of whether Commerce actually has statutory authority to regulate remote access. Baker

McKenzie’s Janet Kim notes it is “widely acknowledged” that Commerce currently lacks that authority. The **Remote Access Security Act** would grant it explicitly, but has stalled over inclusion in the NDAA. Commerce undersecretary Jeffrey Kessler publicly disavowed replacing the diffusion rule in July — while conceding “there will be future regulatory action.”

- **Impact channel:** Reduced Nvidia sales into offshore data centres serving Chinese customers; higher compliance cost and lost business for cloud operators; possible redirection of where data centres get built and whether they buy American silicon.
  - **Link:** <https://www.theinformation.com/articles/trump-administration-working-ai-rule-curb-chinas-remote-access-chips>
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## 5. CoreWeave screens as the cheapest neocloud — but the debt is real

- **What:** The Information’s *True Value* column argues CoreWeave is the best-value listed neocloud, trading at **2.2x expected 2028 revenue** versus **c.2.7x** for both Nebius and Iren, despite being furthest along operationally.
  - **Why the discount:** Customer concentration. Microsoft once accounted for nearly all revenue and still represents **more than a third**. Meta, OpenAI and Google are other large customers — and Microsoft, Meta and Google are all building out their own capacity. Google executives have described their use of external clouds as a “**bridging strategy**.”
  - **When:** Published 31 August 2026, 07:00 PDT.
  - **Which companies:** CoreWeave (CRWV), Nebius (NBIS), Iren (IREN), Microsoft (MSFT), Meta (META), Google (GOOGL), OpenAI, Jane Street, Hudson River Trading, Symbolic-adjacent AI infra names.
  - **How / the numbers:**
    - Revenue: CoreWeave **\$12.9bn expected 2026**, c.4x Nebius, which is c.4x Iren.
    - Capacity: **at least 51 data centres, 1.5GW active, 3.7GW contracted**. Nebius targets >5GW contracted by year-end; Iren expects 1.2GW online by end-2027.
    - Concentration improving: largest customer **36% of revenue at 30 June, down from 71%** a year earlier; next two customers 36% combined.
    - Capital efficiency: capex-to-revenue of **2.5x** in Q2 vs **>9x** for both Nebius and Iren.
    - Backlog: **\$103.7bn** at 30 June (up from \$60.7bn at 31 December), 80% recognisable within four years.
    - Leverage: net debt/LTM EBITDA of **8.2x** vs Nebius 4.7x and Iren 50.6x — but EBITDA is forecast to double to **\$7.5bn in 2026** and more than double again to **\$16.6bn in 2027**, which materially de-risks the balance sheet.
    - Truist: the discount “appears disconnected with its leadership position.”
  - **Link:** <https://www.theinformation.com/articles/coreweave-best-neocloud-buy>
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## 6. Enterprise software pricing is being rebuilt around outcomes, not seats

- **What:** Salesforce is letting customers choose how to pay for Agentforce, including bespoke contracts priced on **revenue generated or cost saved**. In a previously unreported development, **OpenAI has begun offering some major customers pay-only-when-the-AI-completes-the-task pricing** for workloads like customer support.
- **Why:** AI tools have not accelerated headline revenue growth at incumbents, while startups compete on outcome-based pricing. Benioff: “*We want to be able to say, ‘No, we improve revenue*

*by this much, so give us \$2 because we made you \$20 or we made you \$40.’*” The model mirrors Palantir’s long-standing hybrid of flat, usage and outcome fees.

- **When:** Published 30 August; Benioff’s comments came on the investor call of Wednesday 26 August.
  - **Which companies:** Salesforce (CRM), OpenAI, Palantir (PLTR), Adobe (ADBE), HubSpot (HUBS), Zendesk, Sierra, Fin (being acquired by Salesforce for **\$3.6bn**), Cognition, Stripe, Anthropic.
  - **How / the risks:** Salesforce says Agentforce plus data-management growth **more than tripled year over year**; the stock is **up c.23%** since. But two structural threats sit underneath: (a) **attribution disputes** — Stripe has already published guidance warning that outcomes may stem from “product tweaks, marketing campaigns or seasonality,” and “unless attribution rules are explicit, customers could argue over whether the outcome belongs to you”; (b) **disintermediation** — as agents like Claude handle work inside apps, users interact with the incumbent UI less. Salesforce’s response is *Claudeforce*, monetising third-party AI access to Salesforce data via a higher subscription tier. Cognition is going further still, promising enterprise customers up to **\$10m in credits** if it fails to deliver engineering value at least equal to what they pay.
  - **Link:** <https://www.theinformation.com/articles/salesforce-overhauling-way-charges-ai>
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## 7. OpenAI cuts off SpaceX-owned Cursor — the Altman/Musk feud goes commercial

- **What:** OpenAI will terminate its contract supplying models to coding assistant Cursor following SpaceX’s **\$60bn acquisition** of Cursor. Existing OpenAI models come off the platform permanently on **12 November 2026**.
  - **Why:** OpenAI’s public statement cites a lack of trust arising from alleged past contract violations by Musk entities (X, xAI). Practically, it shields OpenAI’s forthcoming flagship model, **Astra**, from being used to help develop rival models.
  - **When:** Announced Friday night 28 August; reported in The Information AM on 31 August. Musk’s response: *“I couldn’t care less.”*
  - **Which companies:** OpenAI, SpaceX, Cursor, xAI, Anthropic, Cognition, Windsurf, Andreessen Horowitz.
  - **How / the numbers:** Cursor co-founder Michael Truell says OpenAI is just **5% of Cursor’s traffic**; Cursor runs **c.\$4bn annualised revenue** overall. Anthropic co-founder Tom Brown publicly committed to keep serving Claude to Cursor — economically self-interested, since Cursor usage drives meaningful Anthropic revenue and **Anthropic has recently become a large renter of servers from SpaceX data centres**. The irony is layered: OpenAI led a seed round in Cursor’s parent three years ago, and Anthropic itself cut off Windsurf last year on similar logic.
  - **Link:** <https://www.theinformation.com/briefings/openai-pulls-ai-models-spacex-owned-cursor>
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## 8. Power, not silicon, is the binding constraint — SpaceX moves into turbine casting

- **What:** SpaceX is laying the groundwork for an in-house foundry to cast **turbine vanes and blades**, bypassing the incumbent oligopoly, in order to accelerate natural-gas turbine availability for AI data centres.
- **Why:** Musk, responding to The Information’s report: *“By doing in-house casting [of vanes and blades] at SpaceX, we can accelerate nat gas turbines coming online by up to 18 months, which is a profound game-changer.”* His stated rationale is Grok’s estimate that **15GW of AI chips**

**produced next year will not be switched on** because of power and equipment shortages — chips worth hundreds of billions of dollars.

- **When:** Original report 29 August; Musk responded Saturday 30 August.
  - **Which companies:** SpaceX, Google (GOOGL), Microsoft (MSFT), Oracle (ORCL), turbine OEM incumbents (GE Vernova, Siemens Energy, Mitsubishi Heavy Industries by implication).
  - **How / context:** The Information reported two weeks ago that data-centre developers working with Google, Microsoft and Oracle fear AI chips will have nowhere to plug in, due to interconnection delays, political opposition and technical constraints. Oracle's data centres have already faced multibillion-dollar cost surprises.
  - **Link:** <https://www.theinformation.com/newsletters/ai-infrastructure/exclusive-spacex-lays-groundwork-turbine-blade-factory-solve-data-center-power-crunch>
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## 9. Humanoids raise billions; the robots earning money don't have faces

- **What:** SoftBank is in talks to buy a **majority stake in OpenAI-backed humanoid maker 1X at a \$6bn valuation** — a company that has taken **>10,000 preorders** for its Neo home robot since October and **has not delivered a single unit**. Meanwhile the robots with actual paying customers are boxy and faceless.
  - **Why it matters:** Piper Sandler's Alexander Potter: humanoids generate buzz but lack customers. The capital is flowing to the narrative, not the revenue.
  - **When:** SoftBank/1X reported last week; the thematic round-up landed 31 August 18:31 UTC. Unitree's Shanghai debut was 19 August.
  - **Which companies:** SoftBank (9984.T), 1X, Unitree, Nyobolt, Symbotic (SYM), Walmart (WMT), Reframe Systems, Tesla (TSLA), Uber (UBER), Waymo/Alphabet (GOOGL), DoorDash (DASH), Hugging Face.
  - **How / the numbers:**
    - **1X:** \$6bn talks — *below* its last share sale price, but well above its \$820m January 2025 mark.
    - **Unitree:** shares **+460%** on Shanghai debut, briefly **>\$60bn** valuation, then cooled c.20% by that Friday. Context: China's domestic IPO market averaged a **225% first-day gain** last year vs **29%** in the US.
    - **Nyobolt: \$936m valuation**, round led by Symbotic; its fast-charging batteries power SymBots already sorting and retrieving boxes across Walmart's US warehouses, with plans to cover all **42 regional distribution hubs**.
    - **Reframe Systems:** founded by ex-Amazon Robotics engineers, raised **\$40m** to expand factory robot arms that frame modular homes; **\$15m booked revenue** to date, targeting a market its lead investor sizes at **c.\$70bn**.
    - **Tesla:** targeting an end-August public launch of Cybercab in Austin — its first vehicle with no steering wheel or brake pedal.
    - **Uber:** shares **-8% YTD** on Waymo robotaxi expansion fears, even as its faster-growing delivery business trades at a steep discount to DoorDash.
  - **Links:** <https://www.theinformation.com/articles/softbank-talks-buy-majority-stake-humanoid-maker-1x-6-billion-valuation> | <https://www.theinformation.com/articles/nyobolt-paired-battery-non-humanoid-robots-won-1-billion-valuation> | <https://www.theinformation.com/articles/exclusive-reframe-raises-funds-bring-amazon-robotics-know-home-building>
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## 10. Apple’s accidental AI hardware win — and the memory shortage throttling it

- **What:** The Mac mini and Mac Studio have become Apple’s fastest-growing business, bought “by the truckloads” by AI labs and developers running agents and doing reinforcement learning locally rather than paying cloud bills.
  - **Why:** Boxy Macs have cooling systems that sustain long AI tasks without thermal throttling, and Apple silicon’s **single shared memory pool** gives it a performance advantage on AI workloads despite being less powerful than Nvidia GPUs overall.
  - **When:** Published 30 August. Apple refreshed Mac mini and Mac Studio with more powerful chips **earlier last week** — unusually early, versus its normal October/November cadence.
  - **Which companies:** Apple (AAPL), Nvidia (NVDA), OpenAI, Anthropic, Amazon/AWS (AMZN), Micron (MU), SK Hynix, Samsung, webAI, Mount Thor, EXO Labs.
  - **How / the numbers:** June-quarter Mac sales **+29% YoY to \$10.4bn** — the fastest-growing segment. **OpenAI has bought tens of thousands of Mac minis and Studios** for reinforcement learning on computer-use agents and is “desperate to acquire more.” Anthropic rents Mac minis from AWS. Nvidia now views **Apple as its biggest competitor in local AI** and shipped DGX Spark in response. **The constraint is memory:** a historic memory-chip shortage driven by AI data centres has left the highest-spec Mac minis and Studios **out of stock for months**, pushing enterprises toward DGX Spark, which is readily available. A former Apple enterprise marketing manager’s blunt assessment: *“The idea that any team at Apple has an actual plan for embracing enterprise AI is a joke.”*
  - **Link:** <https://www.theinformation.com/articles/apple-stumbled-ai-hardware-success-mac>
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## 11. Apple’s CEO handover, and the week’s calendar

- **What:** **Tim Cook ends 15 years as Apple CEO on 31 August**, succeeded by **John Ternus**. Cook becomes executive chair with a brief described as “engaging with policymakers around the world.”
  - **Why it matters:** CEO transitions at the half-dozen largest tech companies are rare — the last was Andy Jassy at Amazon in 2021, before that Pichai (2015) and Nadella (2014). With Cook out, Jensen Huang (63) is the oldest big-tech CEO; every other counterpart is under 60.
  - **When:** Effective 1 September 2026.
  - **Which companies:** Apple (AAPL), Nvidia (NVDA), OpenAI, Shein, Palo Alto Networks (PANW), MongoDB (MDB), Snowflake (SNOW), PayPal (PYPL), Tencent (0700.HK), Z.ai.
  - **How / the setup:** Apple revenue expanded from **\$108bn in FY2011 to an expected \$477.7bn** for the year to September 2026. Near-term tailwinds: the AI overhaul of Siri and a new foldable iPhone. Medium-term overhang: no major new product category in a mature iPhone market, plus OpenAI planning AI-native devices within the next year. Open question — does Cook’s continued presence as executive chair constrain Ternus?
  - **This week’s calendar (consensus per S&P Global Market Intelligence):**
    - **Palo Alto Networks (Tue):** revenue \$3.35bn, **+32%**; EPS 50c, **+39%**
    - **MongoDB (Tue):** revenue \$734.4m, **+24%**; EPS 6c vs a 58c loss
    - **Snowflake (Wed):** revenue \$1.481bn, **+29%**; EPS -77c vs -89c
    - **Shein IPO, Hong Kong:** pricing at c.**\$26bn** valuation versus the **\$98bn** it reached in 2022 — the de minimis loophole closure shrank its US business in Q1.
  - **Links:** <https://www.theinformation.com/newsletters/the-briefing/apples-changing-guard> | <https://www.theinformation.com/articles/inside-nikesh-aroras-deals-hunt-palo-alto-networks>
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## 12. Capital markets round-up

- **Andreessen Horowitz raised \$1.1bn** for a physical-AI and infrastructure fund backing chips, memory, networking and storage — investable by both the infrastructure team (Martin Casado) and American Dynamism (David Ulevitch). This comes only c.9 months after a **\$15bn** raise that included \$1.7bn for AI infrastructure and just under \$1.8bn for American Dynamism, and follows two notable exits: **SpaceX/Cursor at \$60bn** and **Stripe/OpenRouter at \$7.5bn**.
- **PayPal fell 12% on Friday** after Bloomberg reported Stripe and Advent International abandoned their pursuit. Shares hit **\$54**, below the **\$60.50/share** July offer that valued PayPal above **\$53bn** and which PayPal had deemed insufficient. CEO Enrique Lores had said the company would weigh any offer against its own turnaround plan.
- **Kalshi lost at the Ninth Circuit**, which ruled states may regulate prediction markets and declined to block Nevada’s injunction. This **splits with the Third Circuit’s April ruling** that Kalshi’s sports contracts are swaps under the Commodity Exchange Act — a classic circuit split that raises the probability of Supreme Court review.
- **Chinese open-source models keep compressing price:** Tencent launched a preview of flagship open-source model **Hy4**; Z.ai’s new open-source model is drawing attention for near-frontier capability at very low cost.
- **Links:** <https://www.theinformation.com/briefings/andreessen-horowitz-raises-1-1-billion-ai-hardware-fund> | <https://www.theinformation.com/briefings/kalshi-court-setback-raises-prospect-supreme-court-fight>

# Overall Market Trend, Development and Sentiment

## The trend

**Vertical integration is the dominant strategic move of this cycle.** Nvidia is buying the open-model distribution layer while financing its own customers. SpaceX is casting turbine blades because it cannot buy them fast enough. Apple is being pulled into enterprise AI hardware by demand it never planned for. Salesforce is trying to monetise a world where users no longer touch its interface. In each case, an incumbent is reaching outside its historical boundary because the constraint has moved.

## The development

**The constraint has moved from chips to everything around chips.** For two years the question was “can you get GPUs.” The reporting in this window says the questions are now: can you get power, can you get memory, can you get turbine blades, and can you plug the chips in at all. Musk’s 15GW figure — chips shipping next year that cannot be energised — is the single most important number in this briefing if it is even directionally right.

## The sentiment

**Bifurcated, and increasingly disciplined at the margin.** Note what the market is *not* rewarding: CoreWeave, the operationally most advanced neocloud, trades at a discount to less-proven peers. PayPal fell 12% when a bid evaporated. SpaceX and Cerebras both sit far below post-listing highs. Uber is down 8% YTD. That is not indiscriminate euphoria.

But note also what it *is* rewarding: Unitree at >\$60bn on a 460% debut, 1X at \$6bn with zero units delivered, CXMT +472% on debut, Hugging Face at 80x forward revenue. Public-market discipline is being applied to companies with visible financials and withheld from companies whose value rests on narrative.

**Net read: constructive on infrastructure and physical-layer assets; cautious on pre-revenue robotics and on application-layer software until the pricing transition resolves.**

# Important Questions Being Asked — and Addressed

## 1. Is the AI financing loop circular, and does it matter?

**The question:** Nvidia holds \$99bn in equity investments, has committed \$25bn more, put \$30bn into OpenAI equity, extended \$108bn of credit support on OpenAI’s behalf, and committed to \$36bn of cloud contracts under customer credit-support agreements.

**The answer given:** CFO Colette Kress: “*some will call circular financing, we see it differently*” — the argument being that Nvidia is aiding companies that will “become the largest technology companies in history.”

**The unresolved part:** Kress also conceded **a quarter of next year’s revenue** relates to AI labs Nvidia supports financially. That is a real concentration disclosure. The Hugging Face acquisition is explicitly framed in the reporting as a *contingency plan* — somewhere to absorb compute if customers cannot sublease the capacity Nvidia has underwritten. That framing is itself an admission the loop can break.

## 2. Can incumbent software survive the agent layer?

**The question:** If Claude does the work inside Salesforce, who captures the value?

**The answer being attempted:** *Claudeforce* — charge a premium subscription tier whenever third-party AI touches Salesforce data. Plus outcome pricing, so revenue scales with delivered value rather than seat count.

**The risk not yet addressed:** Attribution. Stripe has already published warnings that outcomes may derive from “product tweaks, marketing campaigns or seasonality,” and that without explicit attribution rules customers will contest whose outcome it was. Outcome pricing also converts a predictable, high-multiple recurring revenue stream into a variable, disputable one. Splunk’s subscription transition — where revenue temporarily *fell* — is the cautionary precedent cited.

## 3. How real is China’s memory breakthrough?

**The answer, honestly stated in the reporting:** CXMT is producing HBM3E, one generation behind. But it is **three to five years behind** on technology, **struggling with low yields**, and **blocked from the most sophisticated foreign manufacturing equipment**. SK Hynix mass-produced HBM3E in 2024; leaders are on HBM4 and sampling HBM4E.

**Why it still matters:** Cambricon and T-Head will adopt it anyway despite it being slower and less reliable, because the state absorbs the cost of going first through tax benefits, subsidies and procurement incentives. Volume creates yield learning. This is a five-year problem for the Western memory oligopoly, not a five-month one — but the direction of travel is now established.

## 4. Does Washington actually have the authority to close the remote-access loophole?

**The answer:** Probably not, as things stand. Baker McKenzie’s Janet Kim: it is “basically widely acknowledged” that Commerce lacks authority to regulate true remote access. The Remote Access Security Act would fix that but has **stalled** over NDAA inclusion.

**The workaround being drafted:** Rather than licensing remote access directly, impose licensing on chip exports to specific countries **conditioned on** operators contractually preventing Chinese remote access, plus KYC obligations. That sidesteps the statutory gap — and creates a compliance burden on every operator in the chain.

## 5. Why won't the market pay up for CoreWeave?

**Bear case:** customer concentration (Microsoft still >1/3 of revenue), and every major customer is building its own capacity — Google has literally called external cloud a “bridging strategy.”

**Bull case as argued:** concentration is falling fast (71%to36% in a year), capital efficiency is dramatically better (2.5x capex/revenue vs >9x for peers), backlog is \$103.7bn and growing, and 8.2x net debt/EBITDA compresses rapidly if EBITDA doubles to \$7.5bn this year and \$16.6bn next. The delivery question — who can actually build — favours the operator with 51 data centres already running.

## 6. Are humanoid valuations defensible?

**Bluntly, no, on current evidence.** 1X: >10,000 preorders, zero deliveries, \$6bn. Unitree: >\$60bn on a debut pop that the reporting itself contextualises as *normal* for China (225% average first-day gain in 2025 vs 29% in the US). Against that: Nyobolt at \$936m with product live in Walmart's warehouses, and Reframe with \$15m booked revenue. The revenue is in the unglamorous robots.

## Key Risks

| # | Risk                                        | Channel                                                                                                                                        | Watch for                                                                                                                                    |
|---|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Vendor-financing unwind</b>              | Nvidia's \$99bn equity book + \$108bn OpenAI credit support + \$36bn cloud commitments; 25% of FY27 revenue tied to financially supported labs | Any customer failing to sublease committed capacity; changes to Nvidia's credit-support disclosure                                           |
| 2 | <b>Power / interconnection failure</b>      | Grok-estimated 15GW of 2027 chips unable to energise; Oracle already hit by multibillion cost surprises                                        | Turbine lead times, interconnection queue data, further "chips with nowhere to plug in" reporting                                            |
| 3 | <b>Memory shortage broadening</b>           | Already blocking Apple's fastest-growing segment; HBM demand crowding out conventional DRAM                                                    | Mac mini/Studio stock levels; DRAM spot pricing; DGX Spark share gains                                                                       |
| 4 | <b>IPO indigestion</b>                      | Anthropic at \$1.5–2tn, raising more than SpaceX's \$86bn, into a tape where SpaceX and Cerebras both trade far below post-listing highs       | Prospectus terms after Labor Day; lockup structure; secondary sale size and who is selling                                                   |
| 5 | <b>Software revenue-quality degradation</b> | Outcome pricing converts recurring revenue to variable, disputable revenue across CRM, ADBE, HUBS, Zendesk                                     | Attribution disputes; Salesforce guidance quality vs headline Agentforce growth; whether tripling Agentforce growth ever moves total revenue |
| 6 | <b>Export-control escalation, both ways</b> | New diffusion rule cuts Nvidia offshore sales; China retaliation; CXMT already litigating against the DoD                                      | September BIS feedback draft; Remote Access Security Act / NDAA progress                                                                     |

| #  | Risk                                          | Channel                                                                                                                                            | Watch for                                                                                                      |
|----|-----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| 7  | <b>Agent disintermediation of SaaS</b>        | Users stop touching incumbent UIs; seat-based pricing collapses at the same time as agents commoditise the workflow                                | Seat count vs consumption disclosure at CRM, NOW, HUBS                                                         |
| 8  | <b>Chinese open-source price compression</b>  | Tencent Hy4, Z.ai near-frontier at “superlow costs” — compresses global model pricing and, by extension, inference-driven infrastructure economics | Enterprise adoption of Chinese open models in the US; API price moves at OpenAI/Anthropic                      |
| 9  | <b>Pre-revenue robotics air pocket</b>        | 1X, Unitree valuations disconnected from delivery; Unitree already -20% off its debut peak                                                         | Neo delivery timeline; Unitree lockup expiry; Cybercab Austin launch execution                                 |
| 10 | <b>Platform-neutrality risk in AI tooling</b> | OpenAI cutting off Cursor establishes that model access is a strategic weapon, not a utility                                                       | Further model-access terminations; whether Anthropic’s neutrality stance holds given its SpaceX server rentals |
| 11 | <b>Regulatory fragmentation</b>               | Kalshi circuit split (3rd vs 9th) on whether event contracts are swaps or gambling                                                                 | Cert petition to the Supreme Court; state-level enforcement against prediction markets                         |
| 12 | <b>China listing froth</b>                    | CXMT +472%, Unitree +460% on debut vs a 225% domestic average                                                                                      | Whether these hold; read-across to Shein’s HK pricing at \$26bn vs \$98bn peak                                 |

## Potential Investment Implications

These are analytical observations drawn from the source reporting, not investment recommendations. I am not a licensed financial adviser. Nothing here should be treated as personalised advice — please do your own work or consult a qualified professional before acting.

### Companies directly mentioned in the articles

#### Semiconductors & AI hardware

**Nvidia (NVDA)** — The Hugging Face deal is defensive-strategic: control open-source distribution to keep a counterweight to closed labs building their own silicon. The bull framing is that Nvidia is buying optionality on the entire open ecosystem for 3% of a quarter's market cap. The bear framing is \$99bn of equity, \$25bn more committed, \$108bn of OpenAI credit support and a quarter of FY27 revenue tied to labs it finances — with the Hugging Face acquisition explicitly serving as a place to park unsold compute. Add competitive pressure from OpenAI's Jalapeño chip (untested at scale, unbenchmarked against Rubin), Google's TPU push into Nvidia's most loyal accounts, and a possible diffusion rule cutting offshore sales. **Watch: Rubin vs Jalapeño benchmarks; the September BIS draft; credit-support disclosure at next earnings.**

**Micron (MU), SK Hynix, Samsung** — Two opposing forces. Near-term: a historic memory shortage is a pricing tailwind so severe it is throttling Apple's fastest-growing product line. Medium-term: CXMT entering HBM3E, backed by state subsidy and a \$8.6bn IPO war chest, is the first credible fourth entrant. SK Hynix is most exposed as Nvidia's principal HBM supplier. **Watch: HBM4/HBM4E ramp pace; CXMT yield progress; DRAM spot pricing.**

**Cambricon, Alibaba T-Head (BABA)** — Direct beneficiaries of domestic HBM. Alibaba gets a path to reduce dependence on export-controlled memory for T-Head silicon. Both are accepting slower, less reliable memory today to buy supply-chain sovereignty tomorrow — subsidised by the state.

#### AI infrastructure & neoclouds

**CoreWeave (CRWV)** — The cleanest valuation-gap argument in the window: 2.2x 2028 revenue vs 2.7x for Nebius and Iren, best-in-class capital efficiency (2.5x vs >9x), largest scale (\$12.9bn 2026 revenue), most capacity operating (51 DCs, 1.5GW active), and a backlog that grew from \$60.7bn to \$103.7bn in six months. The offset is genuine: 8.2x net leverage and hyperscaler customers actively building substitutes. Truist and Freedom Capital's Paul Meeks both take the constructive side. **Watch: further concentration decline below 36%; EBITDA trajectory toward \$7.5bn/\$16.6bn; new non-hyperscaler wins like Jane Street and Hudson River.**

**Nebius (NBIS), Iren (IREN)** — Trading at a premium to CoreWeave on 2028 revenue despite far worse capital efficiency. Nebius has the better customer-diversification story (financial institutions rather than hyperscalers, largest customer 25%) and lower leverage (4.7x). Iren is earliest-stage — 50.6x net debt/EBITDA today, but EBITDA forecast to go from \$34.7m to \$2bn. Highest beta of the three.

**Oracle (ORCL), Microsoft (MSFT), Meta (META), Alphabet (GOOGL)** — All named as facing or driving the power crunch. Microsoft and Meta are simultaneously CoreWeave's largest customers and its largest long-term threat. Google has explicitly labelled external cloud usage temporary.

## Power & physical AI

**Turbine OEMs (GE Vernova, Siemens Energy, Mitsubishi Heavy — by implication)** — SpaceX moving to in-house blade casting is an explicit attempt to route around this oligopoly. Near-term it validates extraordinary demand and pricing power. Medium-term it is the first credible signal that hyperscale buyers will vertically integrate rather than queue. **Watch: whether other data-centre developers follow SpaceX's lead.**

**Symbotic (SYM), Walmart (WMT)** — Symbotic led Nyobolt's round at a \$936m valuation; SymBots powered by Nyobolt batteries are live across Walmart's US warehouses with a path to all 42 regional distribution hubs. This is the one robotics story in the window with disclosed revenue and a named anchor customer.

## Enterprise software

**Salesforce (CRM)** — Stock **+23%** since Agentforce and data-management growth “more than tripled.” But the reporting is careful: that growth “*didn't boost overall revenue much.*” The company is simultaneously (a) transitioning to outcome pricing, which degrades revenue predictability, (b) acquiring Fin for \$3.6bn, and (c) building Claudeforce to monetise the very disintermediation that threatens it. Benioff is the executive with the strongest track record on pricing-model transitions — he led the on-prem-to-SaaS shift. **Watch: whether Agentforce growth ever converts to total revenue acceleration; attribution disputes surfacing in guidance.**

**Palantir (PLTR)** — Named as the template. Its hybrid flat/usage/outcome model is what Salesforce is now copying, and the article notes its revenues have “skyrocketed.” Relative validation of the model's pricing power.

**Adobe (ADBE), HubSpot (HUBS), Zendesk, ServiceNow (NOW, by implication)** — All named as already moving toward pay-when-it-works. Sector-wide revenue-quality question, not a single-name one.

**MongoDB (MDB), Snowflake (SNOW), Palo Alto Networks (PANW)** — Reporting Tue/Tue/Wed this week with consensus of +24%, +29% and +32% revenue growth respectively. PANW additionally has the Nikesh Arora M&A-hunt angle running.

## Platforms & consumer

**Apple (AAPL)** — A genuinely underappreciated setup: Mac is the fastest-growing segment at **+29% to \$10.4bn**, driven by AI labs buying Mac minis and Studios in the tens of thousands, and Nvidia now regards Apple as its main local-AI competitor. Two caveats. First, the memory shortage has kept the highest-spec configurations out of stock for months and is actively pushing enterprises to DGX Spark. Second — per a former Apple enterprise marketer — Apple has **no dedicated enterprise engineering team and no enterprise developer relations**, so this is unmanaged demand. Overlay the CEO transition to Terner, near-term Siri/foldable tailwinds, and a medium-term absence of a new category with OpenAI devices arriving within a year. **Watch: whether Apple staffs an enterprise organisation; memory allocation; Terner's first strategic move.**

**Alphabet (GOOGL)** — Multiple threads converge favourably: TPUs winning share in Nvidia's most loyal accounts, Waymo pressuring Uber, own data-centre buildout reducing neocloud dependence, and an investment in Anthropic ahead of an IPO potentially valued at \$1.5–2tn.

**Amazon (AMZN)** — Anthropic investor and compute provider; also rents Mac minis to Anthropic via AWS. Dual exposure to the Anthropic IPO mark and to the local-AI hardware trend.



**PayPal (PYPL)** — Fell 12% to \$54, now below the rejected \$60.50 offer. Management now has to deliver a standalone turnaround that clears a bid it deemed insufficient, with no bidder in sight. **Watch: whether Advent/Stripe return; turnaround execution milestones.**

**Uber (UBER)** — Down 8% YTD on Waymo fears; The Information’s own framing (“Uber Bears Have Taken a Wrong Turn”) argues the delivery business trades at a steep discount to DoorDash. **Watch: delivery segment disclosure; Waymo city-by-city expansion.**

**Tesla (TSLA)** — Cybercab public launch in Austin targeted for end-August; first vehicle without steering wheel or pedals. Binary execution and regulatory risk.

**Tencent (0700.HK)** — Launched Hy4 open-source flagship. Beneficiary of the open-model shift, and a contributor to global price compression.

### **Private / pre-IPO to monitor**

**Anthropic** — Prospectus after Labor Day, investor day mid-September, listing late September/early October at a discussed \$1.5tn (NYT: up to \$2tn) versus \$965bn in May. Structure matters as much as price: secondary sales in the deal, longer-than-180-day lockups, possible 10b5-1 plans for all staff. The read-across for AMZN and GOOGL marks is direct.

**Hugging Face** — Being taken out at 80x forward revenue on \$150m ARR. A datapoint on what strategic control of AI distribution is worth.

**Cursor / SpaceX** — \$60bn acquisition, \$4bn annualised revenue, now losing OpenAI models (5% of traffic) on 12 November while deepening Anthropic dependence.

**1X, Unitree, Nyobolt, Reframe Systems** — The humanoid-versus-workhorse split. Capital is with the former; revenue is with the latter.

**Kalshi** — Circuit split between the Third and Ninth Circuits raises Supreme Court odds materially. Read-across to the broader prediction-market and event-contract complex.

**Shein** — Hong Kong listing this week at c.\$26bn versus a \$98bn peak — a live test of whether cross-border e-commerce can be repriced after the de minimis loophole closed.

### **Positioning summary**

**Where the reporting supports constructive positioning:** physical-layer AI infrastructure (power generation, turbine supply chain, memory), the operationally-proven neocloud trading at a discount to less-proven peers, and warehouse/industrial robotics with named anchor customers.

**Where it counsels caution:** pre-revenue humanoid robotics at multi-billion marks, application-layer SaaS mid-transition to outcome pricing until attribution norms settle, and vendor-financed revenue streams where the financier and the customer are the same balance sheet.

**The single most important swing factor:** whether power and memory constraints clear fast enough to let 2027’s chip production actually run. If Musk’s 15GW figure is directionally correct, it reprices the entire infrastructure complex — favourably for those solving it, unfavourably for those who have already paid for the chips.

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